PROJECT REPORT · LANDED-COST CAPITAL

RaceSims. Chennai

An 8-rig motorsport-grade centre — costed at actual landed prices.

8	₹68.5L	₹3.57cr	~2.0yrs
RIGS · 7 RACE + 1 MOTION	NET CAPITAL DEPLOYED	5-YEAR EBITDA	PAYBACK

THE OPPORTUNITY, IN ONE PAGE

Executive Summary

10.0%	₹8.6–29.3L	₹2.11 cr	~3.1×
OPERATING BREAK-EVEN	YEAR-1 EBITDA RANGE	5-YEAR PROFIT AFTER TAX	CAPITAL MULTIPLE · 5-YR

RaceSims · Chennai is an 8-rig premium sim-racing centre (7 race/rally + 1 three-DOF motion) opening July 2026 under Racesims Solutions Pvt Ltd. This report costs every station **bottom-up from actual landed prices (incl. tax)**: **₹44.6L** for the full fleet — sim hardware, gaming PCs and triple 32″ screens. The building is brand-new with power and fire systems already in place, so the fit-out is room-only.

Operating costs are covered at just **10% occupancy — barely an hour of bookings per rig a day** (11.5%, ~1.2 hr/rig/day, including the 8% cost of capital); a comparable operating dealer already runs at **~20% by month 6**. The five-year base case is deliberately conservative — sim sessions only, with café and academy excluded as pure upside, occupancy ramping 18→35%, full corporate tax, and the cost of capital carried throughout.

SECTION 1

Concept & Configuration

A professional motorsport-development venue — **not a gaming café** — positioned through **Drive · Train · Compete**. Phase 1 is sim sessions only; the café and academy layer on as the base proves out.

CONFIGURATION

Rigs	**7 race + 1 motion (3-DOF)**
Staff at launch	**2 (3rd from Y2)**
Floor area	**1,142 sq ft · 8.73×12.15 m**
Operating hours	**12 / day**
Capacity	**2,496 rig-hrs / month**

PRICING · GST-INCLUSIVE

Race / rally · 30 min	₹750
Race / rally · 1 hr	₹1,250
Motion · 30 min	₹1,000
Motion · 1 hr	₹1,750
Blended net rate	**₹1,218 / hr**

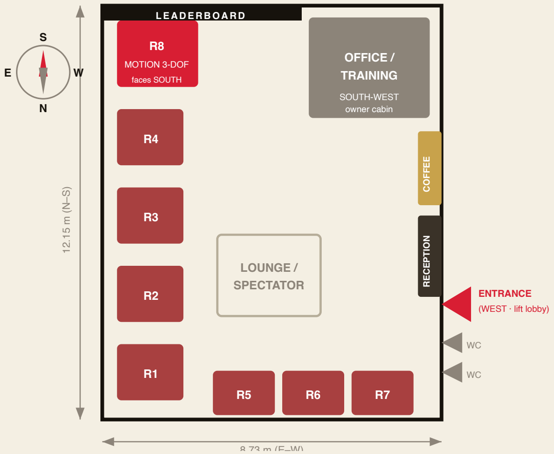
S E C T I O N   2

Floor Plan

RaceSims · Chennai

FLOOR PLAN v7 — Image-top = SOUTH · all rigs face the walls

Entrance **WEST** · Office = SOUTH-WEST · Motion faces SOUTH · screens against walls



Race rig · Motion · Office · Coffee · Lounge · Entry/WC

IMAGE–TOP = SOUTH · VASTU–ORIENTED · 1,142 SQ FT

Entrance WEST, off the lift lobby — the right wall.

Office / training in the South-West corner — owner cabin, doubles as the Phase-2 academy room.

Motion rig faces SOUTH, the visual hero by the leaderboard wall.

7 static rigs line the east & north walls — triple screens against the wall, drivers facing out with the room open behind them for spectating.

Reception + coffee counter on the west wall by the entrance; central lounge keeps sightlines open; two washrooms kept clear.

Equipment — Bill of Materials

FORMULA / GT RIG × 4

Conspit Ares 12 Nm wheelbase	₹41,500
300GT steering wheel	₹32,750
Quick release (QR)	₹4,500
Apex 2 pedals (no clutch)	₹25,000
Seat	₹20,000
Rig frame	₹22,000
Triple monitor stand	₹15,000
Sim hardware / rig	**₹1,60,750**

RALLY / GT RIG × 4

Conspit Ares 12 Nm wheelbase	₹41,500
300GT steering wheel	₹32,750
Quick release (QR)	₹4,500
VNM 3-pedal (w/ clutch)	₹35,500
Sequential / H shifter	₹22,000
Handbrake	₹21,500
Seat	₹20,000
Rig frame	₹22,000
Triple monitor stand	₹15,000
Sim hardware / rig	**₹2,14,750**

Every station then adds Gaming PC · Ryzen 7 9700X + RTX 5070 Ti **₹2,51,995** · 3 × Samsung Odyssey G5 32″ **₹72,000** Formula **₹4,84,745** Rally **₹5,38,745** / rig

BUILD	QTY	PER RIG	SUBTOTAL
Formula / GT rig	×4	₹4,84,745	₹19,38,980
Rally / GT rig (static)	×3	₹5,38,745	₹16,16,235
Rally / GT rig · 3-DOF motion	×1	₹9,08,745	₹9,08,745
Total fleet equipment · landed			**₹44,63,960**

Motion platform ₹3,70,000 (supplier-quoted) sits on one rally rig, taking it to ₹9,08,745.

4 formula + 4 rally builds; one rally rig carries the 3-DOF motion platform (7 static + 1 motion).

SECTION 5

Capital, Fit-out & Cost of Capital

CAPITAL · LANDED BASIS	AMOUNT
8 rigs (landed · incl. tax · from BOM)	**₹44,63,960**
Security deposit (6 mo · refundable)	₹9,31,500
Fit-out (room-only · itemised right)	₹14,20,000
Working capital (2 months)	₹6,11,000
Contingency (5% of equip + fit-out)	₹2,94,198
Gross investment	**₹77,20,658**
less GST input credit	(₹8,74,915)
Net cash deployed	**₹68,45,743**
of which deposit (refundable)	(₹9,31,500)
Capital truly at risk	**₹59,14,243**

Cost of capital · 8% p.a. blended (part loan / part own) = **₹5.48L / yr**.
Equipment is costed from **actual landed prices**; the same fleet at retail runs **₹70–85L** — a resaleable asset that de-risks the financing.

FIT-OUT · ROOM-ONLY ₹14,20,000

Air conditioning — 8 T · 4×2 T 5-star	₹2,60,000
Electrical + UPS (PC) + sub-DB	₹2,25,000
Lighting — magnetic track + accent	₹1,90,000
Branding — exterior lit fascia	₹1,10,000
Flooring — commercial carpet tiles	₹1,00,000
Furniture — ledge + premium chairs	₹1,00,000
Solar film + blinds	₹80,000
Ceiling + wall paint	₹75,000
Leaderboard TV — 65″ QLED	₹55,000
Networking — switch + router + WiFi 6	₹55,000
Reception counter	₹52,000
Glass partition — black-framed	₹50,000
CCTV — 4 cam + NVR	₹36,000
Access — biometric attendance	₹12,000
Tablet billing + misc	₹20,000

Brand-new building — power & fire already in place; in-room scope only. AC is 4×2 T high-wall splits (no false ceiling, exposed look). Acoustic panels & ambient audio are deferred to Phase 2.

SECTION 6

Operating Costs & Break-even

MONTHLY COST · YEAR 1	₹
Rent	₹1,55,250
Electricity	₹45,000
Staff (2)	₹50,000
Rig upkeep + reserve	₹24,000
Building maintenance	₹17,250
Office supplies	₹10,000
Internet	₹4,000
Total monthly (Y1)	**₹3,05,500**

Pricing GST-inclusive; blended ₹1,218/hr net. Capacity 2,496 rig-hrs/mo.
Cost grows ~6%/yr; 3rd staffer from Y2.

Break-even — in rig-hours you can picture

~1 hr	~8	~250
PER RIG / DAY	RIG-HRS / DAY · ALL 8	RIG-HRS / MO OF 2,496

Each rig only needs to be booked **just over an hour a day** — out of ~10 hours open — to cover **every** operating cost. Including the 8% cost of capital, ~1.2 hr/rig/day. The rest of the day is margin.

OCCUPANCY NEEDED TO COVER COSTS

Operating break-even	10.0%
Incl. 8% cost of capital	11.5%
Year-1 plan · at open	18%
Dealer benchmark · month 6	~20%

0% — scale: 0–25% of 2,496 rig-hrs / mo

10.0%
OPERATING BREAK-EVEN

11.5%
INCL. 8% COST OF CAPITAL

The plan opens at 18% and a real network dealer already clears ~20% by month six — so the centre breaks even with a **wide cushion below proven demand**.

Five-Year Financial Forecast

₹ LAKH	Y1 · JUL-26	Y2	Y3	Y4	Y5
Occupancy	**18%**	**25%**	**30%**	**33%**	**35%**
Net revenue	**65.7**	**95.8**	**120.7**	**139.4**	**155.2**
Operating cost	36.7	41.9	44.4	47.0	49.9
EBITDA	**29.0**	**53.9**	**76.3**	**92.4**	**105.3**
EBITDA margin	**44%**	**56%**	**63%**	**66%**	**68%**
less Depreciation	15.2	11.4	8.5	6.4	4.8
less Cost of capital	5.6	5.6	5.6	5.6	5.6
Profit before tax	**8.2**	**36.9**	**62.2**	**80.4**	**94.9**
less Tax (25.17%)	2.1	9.3	15.7	20.2	23.9
Profit after tax	**6.1**	**27.6**	**46.5**	**60.2**	**71.0**

₹3.57 cr
CUMULATIVE EBITDA

₹2.11 cr
CUMULATIVE PAT

~3.1×
CAPITAL MULTIPLE ON ₹68.5L

Upside
CAFÉ & ACADEMY EXCLUDED

SECTION 8

Year-1 Detail, Payback & Timeline

YEAR-1 P&L · ₹L	GOOD	SLOW
Net revenue	**66.0**	**45.3**
Operating cost	(36.7)	(36.7)
EBITDA	**29.3**	**8.6**
Depreciation	(15.2)	(15.2)
Cost of capital	(5.6)	(5.6)
Profit before tax	**8.5**	**(12.2)**
Tax @ 25.17%	(2.1)	–
Profit after tax	**6.4**	**c/f**

Full-year depreciation (July start >180 days in FY27). **80-IAC exemption**, if claimed, zeroes Y1–Y2 tax (~₹12L). Y3 carries a ~₹12L PC/GPU refresh from the maintenance reserve.

EXECUTION TIMELINE · DECISION TO OPEN IN ~16 WEEKS

0 — Mar 2026 — **Validate**
Call Uday · CA brief (SAC / 80-IAC) · venue lock · rig pro-forma · go / no-go

1 — Apr 2026 — **Lease & legal**
Registered lease · S&E + trade licence · order rigs (8-wk lead) · VMS kickoff · hire lead

2 — May–Jun 26 — **Fit-out & build**
AC + electrical · flooring / ceiling / branding · networking · rigs cleared & installed

3 — late Jun 26 — **Commission**
Systems test · staff training · 30-guest soft launch

4 — Jul 2026 — **Launch & ramp**
Public open · ARKA media · Hot Lap #1 · month-4 checkpoint

SECTION 9

Risks & Key Assumptions

Demand below ~20% dealer benchmark	Break-even 10–11.7% leaves a wide cushion; pre-sell **corporate & experiences**.
Premium-price resistance	Protect the headline rate; deliver value via **memberships, Hot Lap, off-peak**.
Equipment failure (motion rig)	Maintenance reserve + in-house servicing; **rigs resaleable at retail**.
Slow first 4–5 months	Hold a **~₹17L runway buffer** separate from capital.

Assumptions. Landed-cost basis — equipment costed from actual component prices (incl. tax); motion platform ₹3.7L (supplier-quoted). Pricing GST-inclusive (master rate card); revenue net of 18% GST. Occupancy 18→35% base case. Blended rate +5%/yr; operating cost +6%/yr (3rd staffer Y2). Cost of capital 8% p.a. on ₹68.5L. Full corporate tax (25.17%); no startup exemption banked. Depreciation blended WDV on the ₹58.8L equipment + fit-out base. Brand-new building (power + fire in place) — fit-out is room-only; AC high-wall splits (no false ceiling). Café & academy revenue excluded (upside). Management estimates for planning.

An asset base costed to the rupee, break-even far below proven demand, and a five-year line that compounds to ~3.1× capital.
This is built to profit.